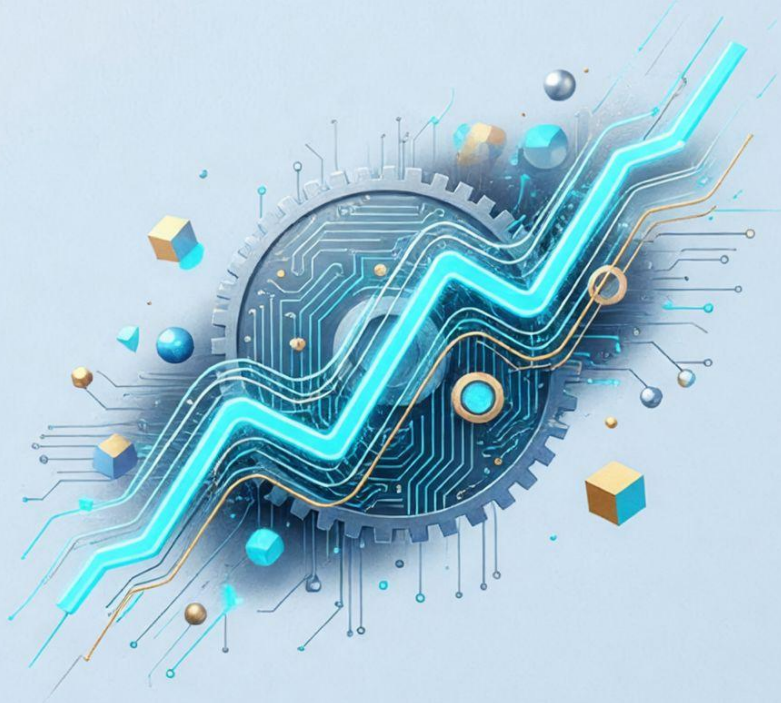
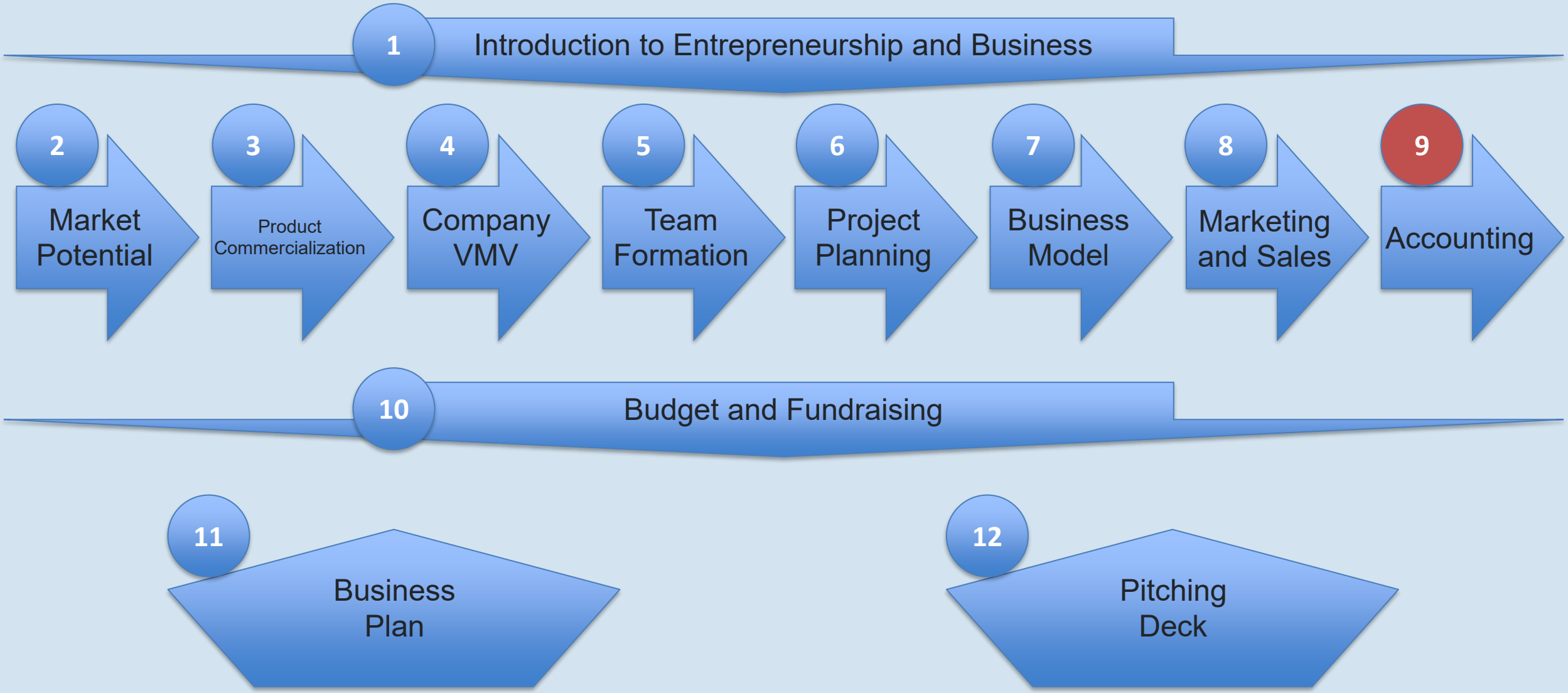
Financial Foundations and Strategic Management for Tech Ventures

Ir Prof Alan Lam, JP



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Outline of the Course



Chapter 1: Fundamentals of Accounting and Financial Management for Startups

Ir Prof Alan Lam, JP

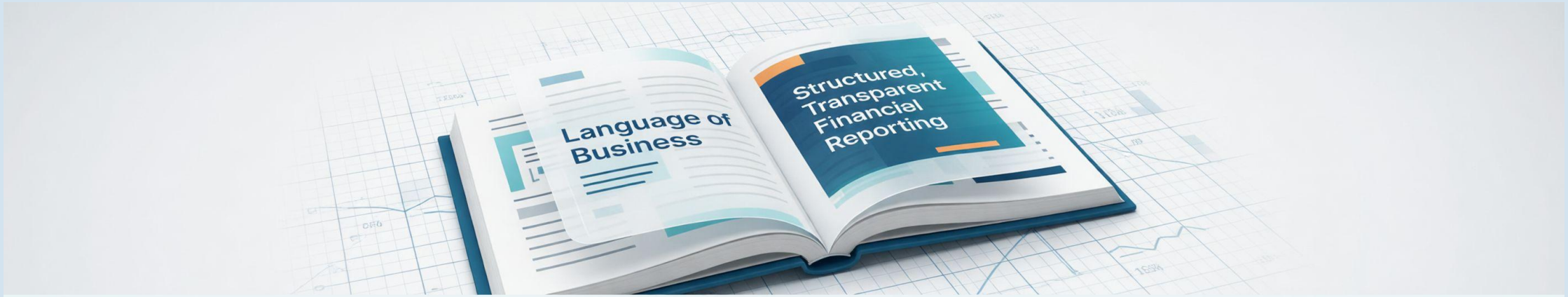


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Introduction to Accounting



Accounting Principles and Concepts



Accrual Basis

Consistency

Prudence

Going Concern



Revenue recorded on shipment & billing





Understanding Financial Management



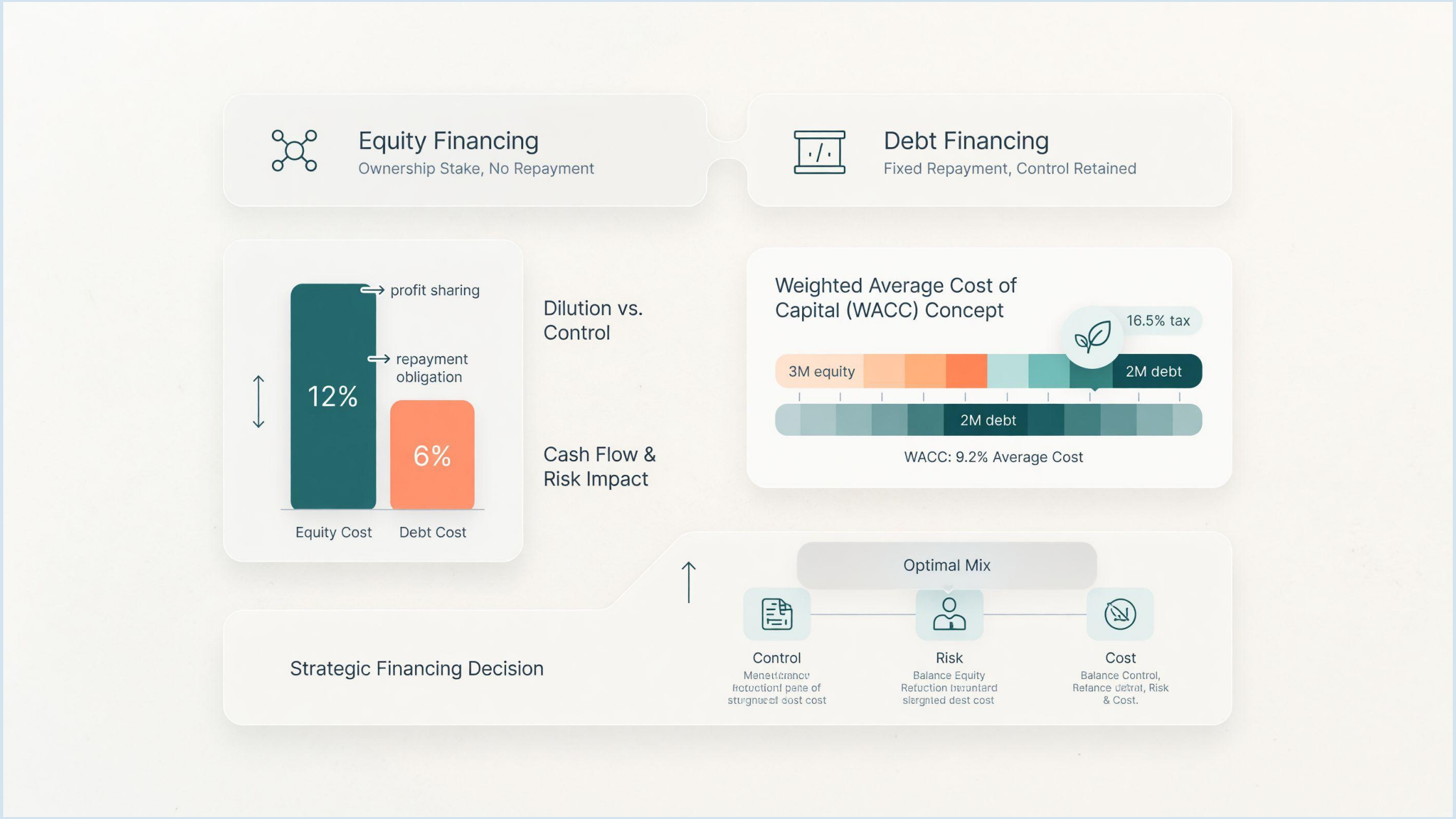
Role of Accounting in Startups



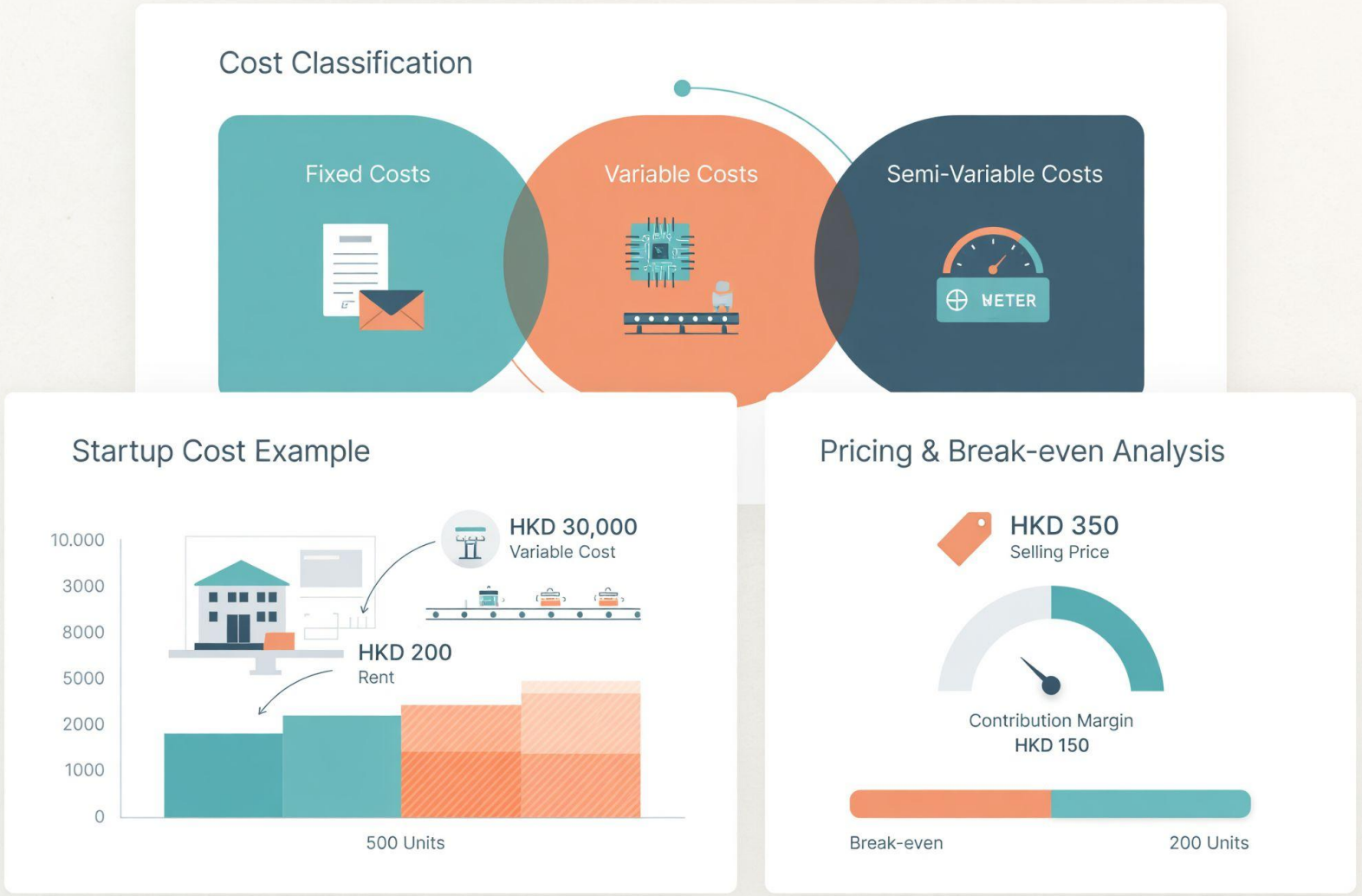
Legal and Regulatory Framework



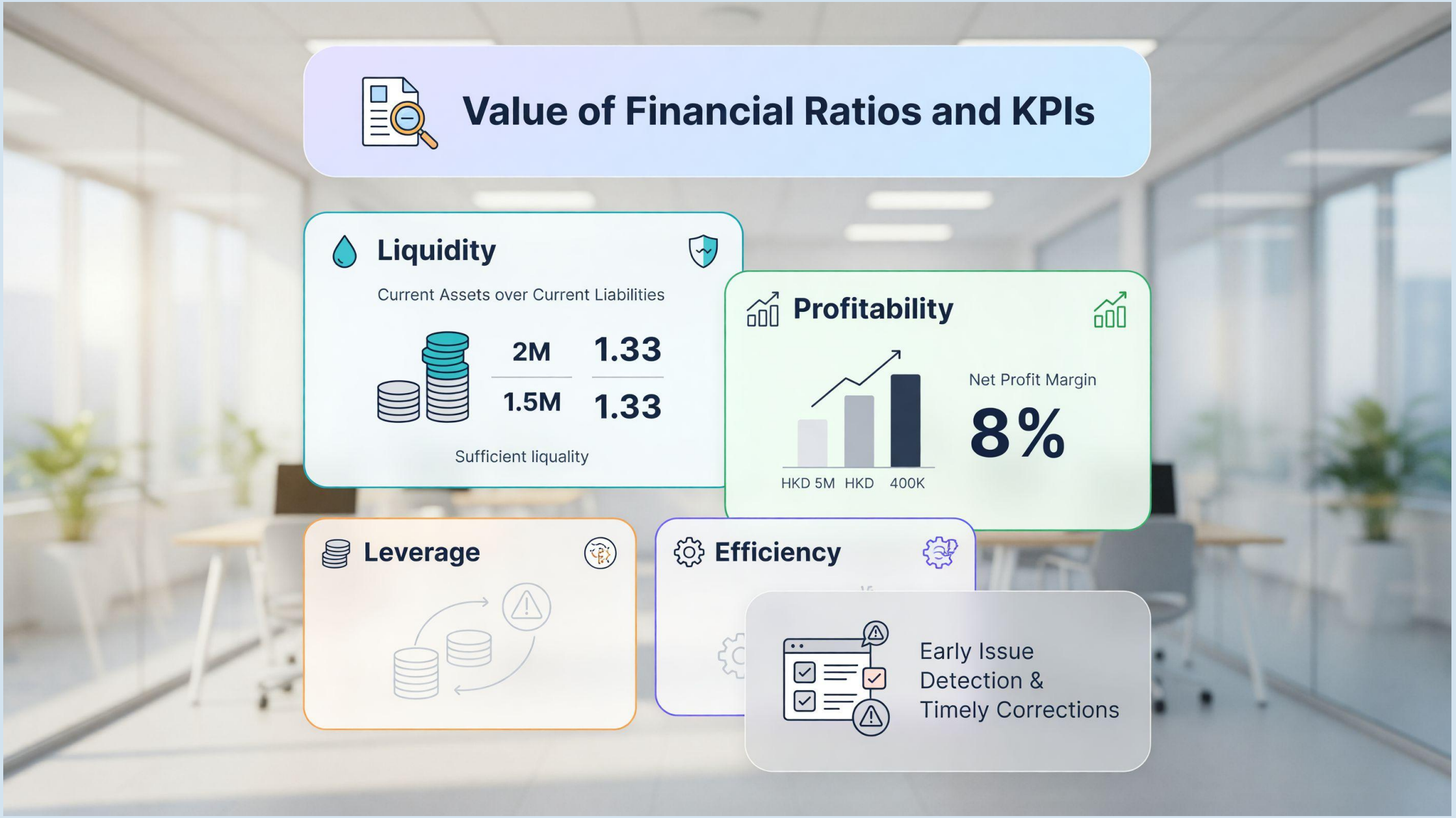
Capital Structure and Sources



Cost Concepts and Classification



Financial Ratios and KPIs



Real Market Data Analysis

Prevalence of Integrated Financial Systems

65% Adoption

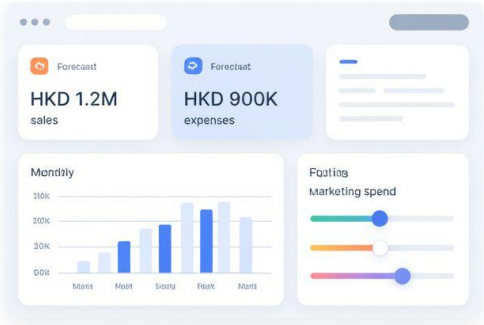
Operational Benefits Observed

- 20% Faster Invoicing
- 15% Fewer Reporting Errors
- VC Transparency

Resilience & Scalability Foundations



Impact of Rigorous Budgeting and Planning



Case Example: Adaptive Cash Flow Management

Introduction to Accounting



Chapter 2: Financial Statements - Profit & Loss, Balance Sheet, and Cash Flow

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Introduction to Financial Statements

Essential Role of Financial Statements

- Historical Data • Profitability
- Cash Flow • Assets & Liabilities
- Performance Monitoring • Compliance

Core Types of Financial Statements

Profit & Loss Statement	Balance Sheet	Cash Flow Statement
Profitability over Time	Assets & Liabilities at a Point	Cash Movements Over Period

Importance for Technology Startups



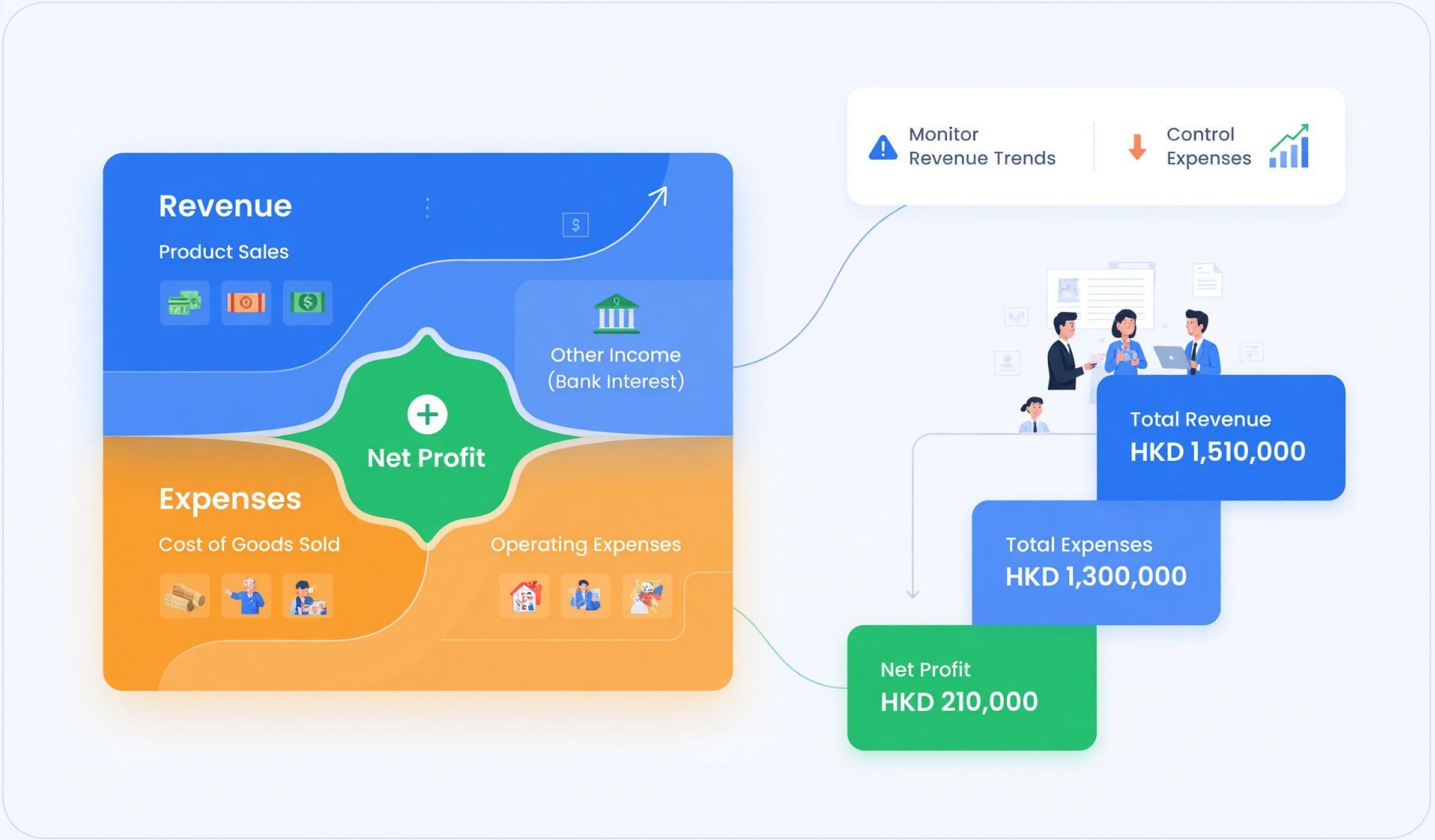
Timely & Accurate Financials

- Revenue Management • Funding Security
- Strategic Growth Planning

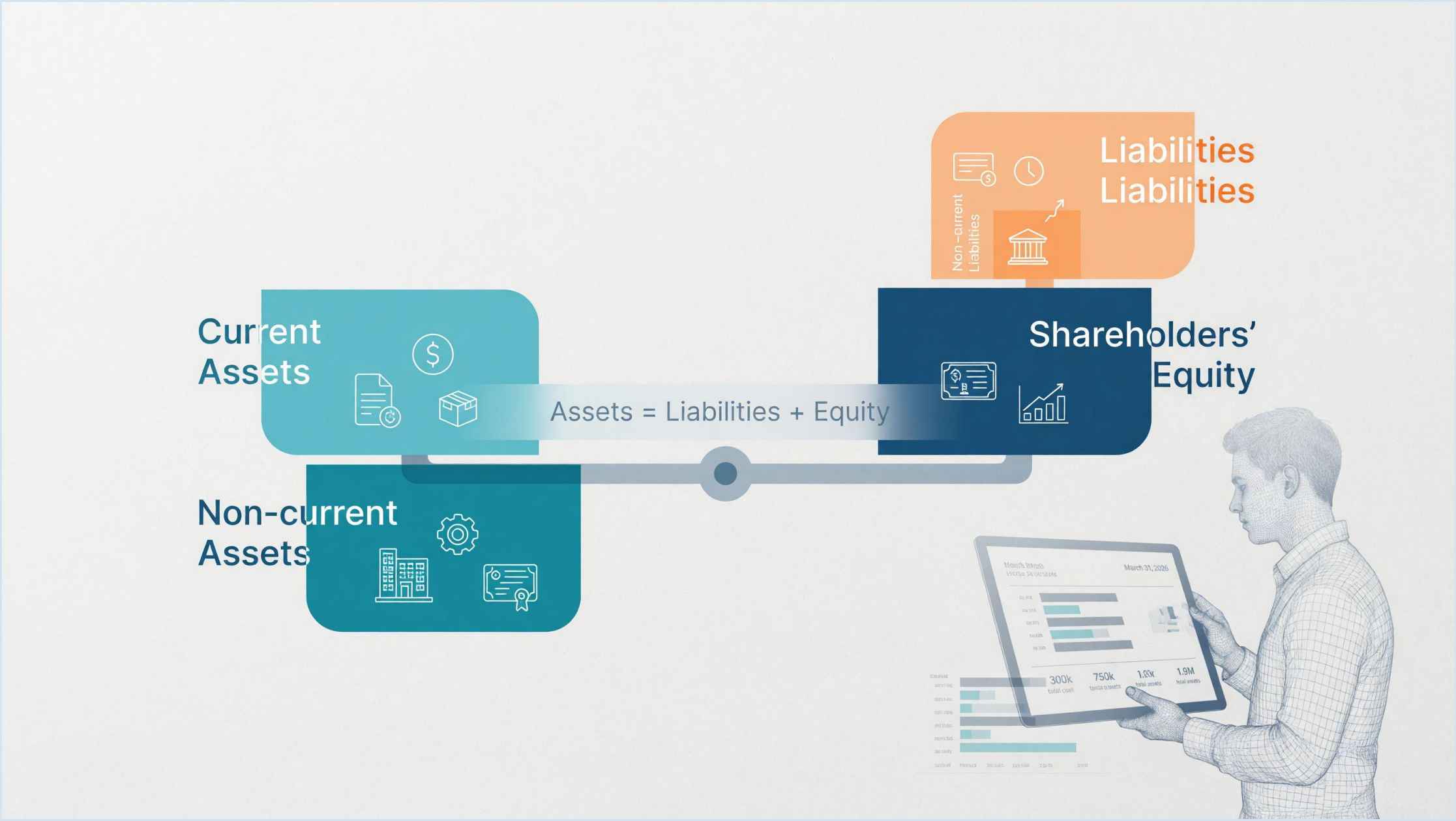
Regular Preparation and Practical Application

Regular Updates • Trend Detection
Operational Adjustments • Real HKD Data
Examples

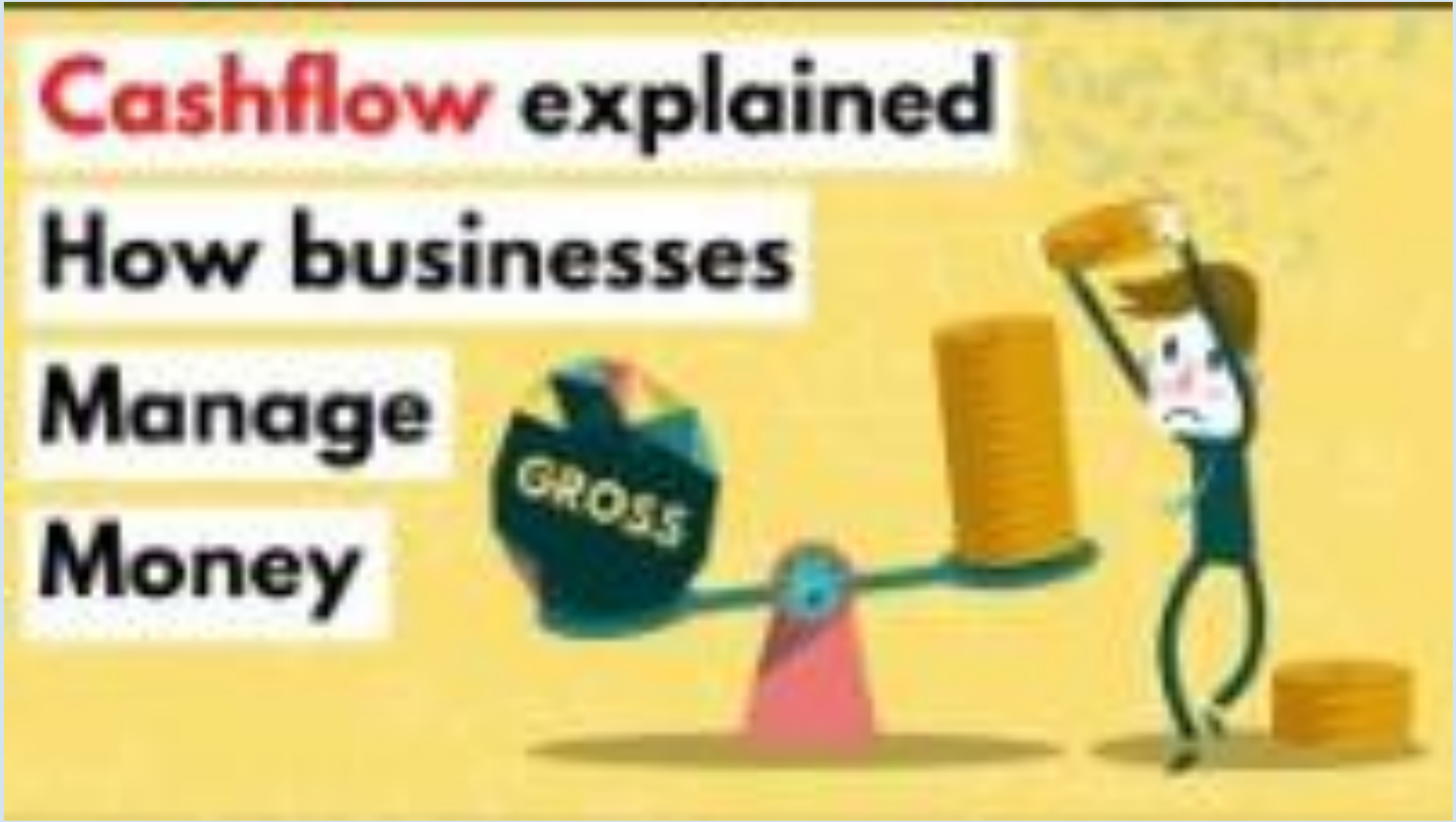
Profit and Loss Statement Analysis



Balance Sheet Structure and Components



Introduction to Accounting



Cash Flow Statement Explanation

Cash Flow Statement — Actual Liquid Cash Movements

Quarterly Cash Flow Snapts		HKD
Operating	+1,500,000	-980,000
Investing	-750,000	-750,000
Financing	+500,000	-200,000



+ Cash In from Customers

— Payments to Suppliers/Employees

— Asset Purchases

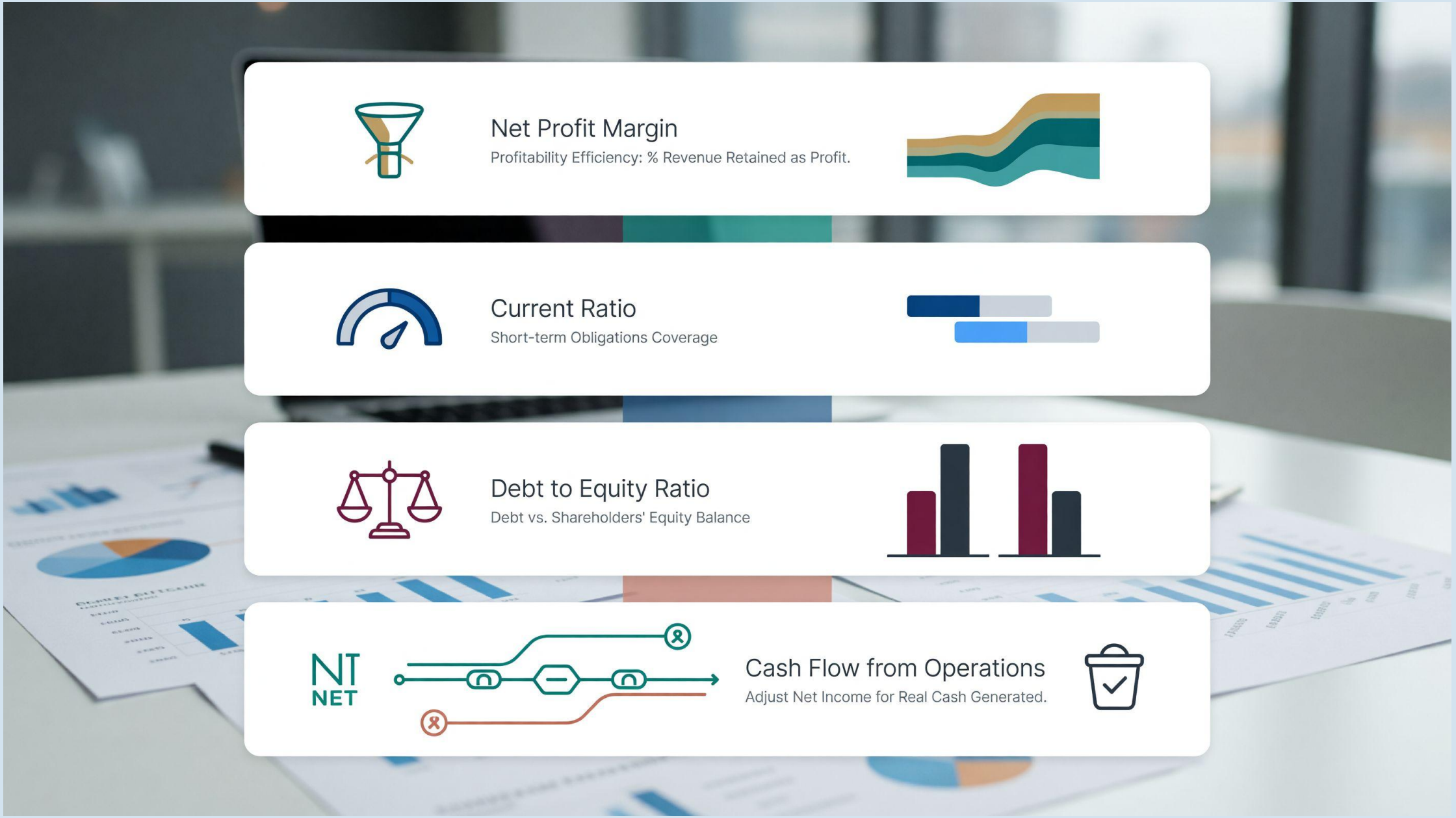
+ Borrowing/Equity Raised

— Debt Dividends Repaid

Interpreting Financial Status



Calculations in Financial Statements



Chapter 3: Financial Planning and Budgeting for Startup

Ir Prof Alan Lam, JP

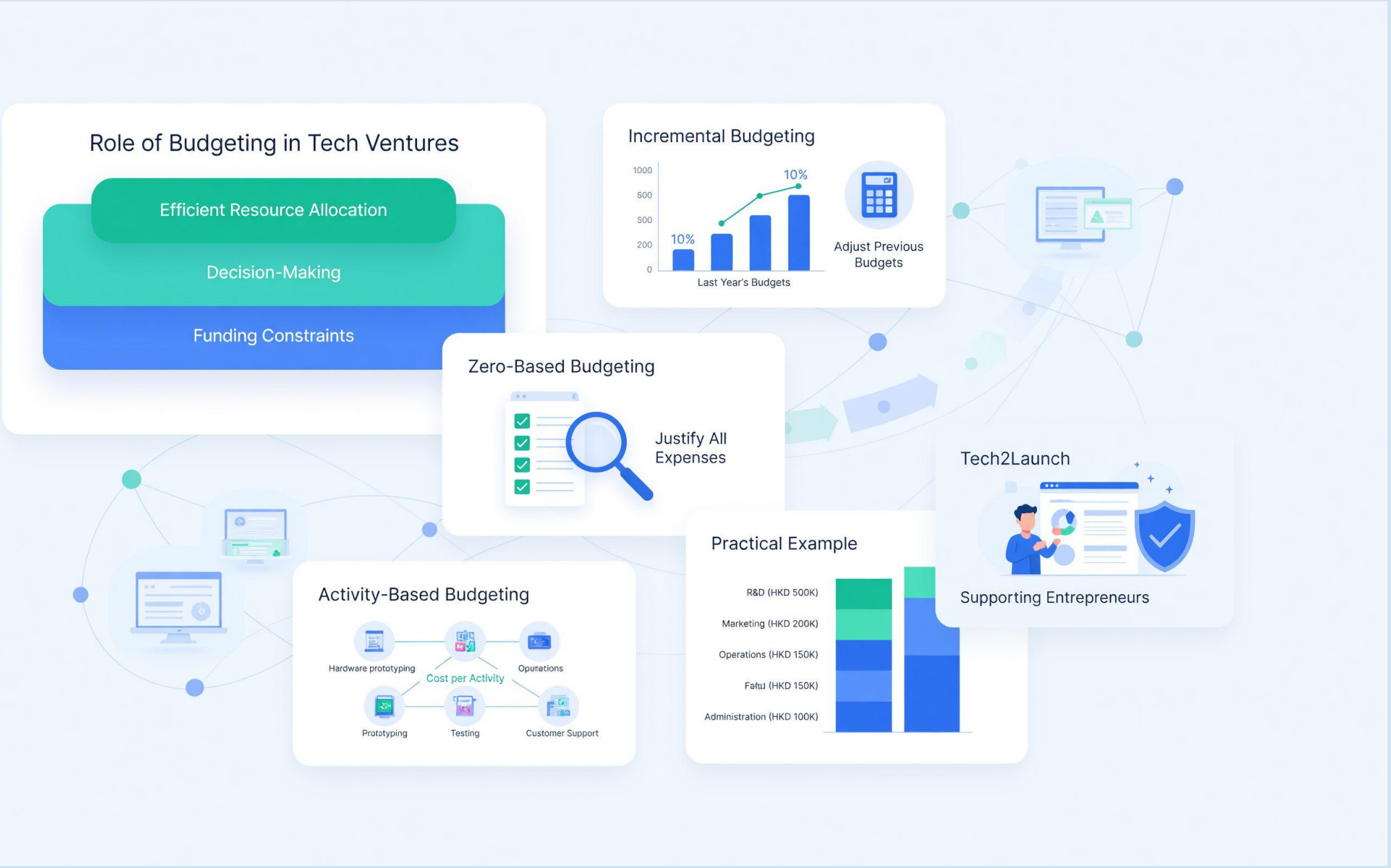


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Importance of Financial Planning



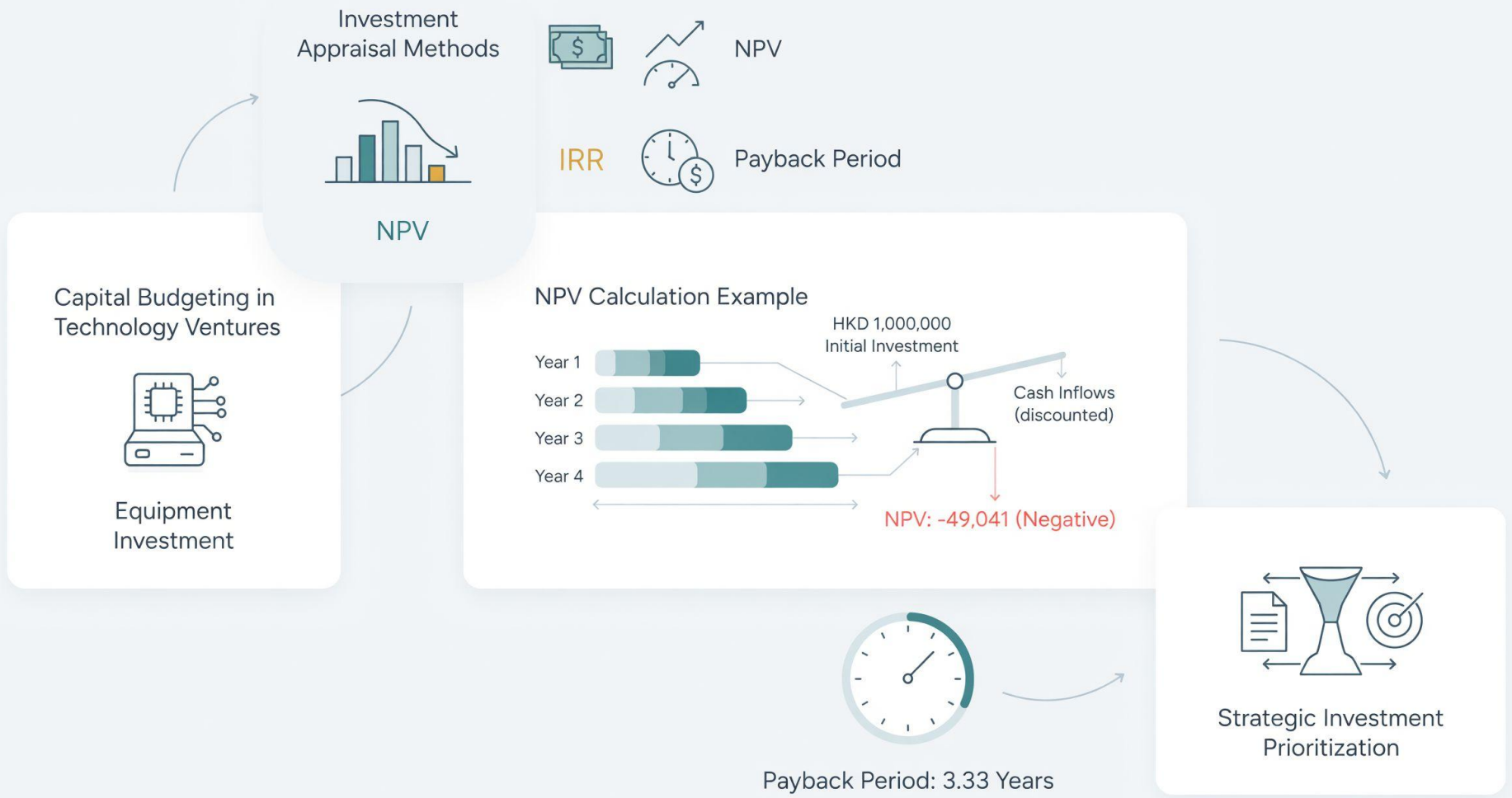
Budgeting Techniques for Startup



Forecasting Revenues and Expenses



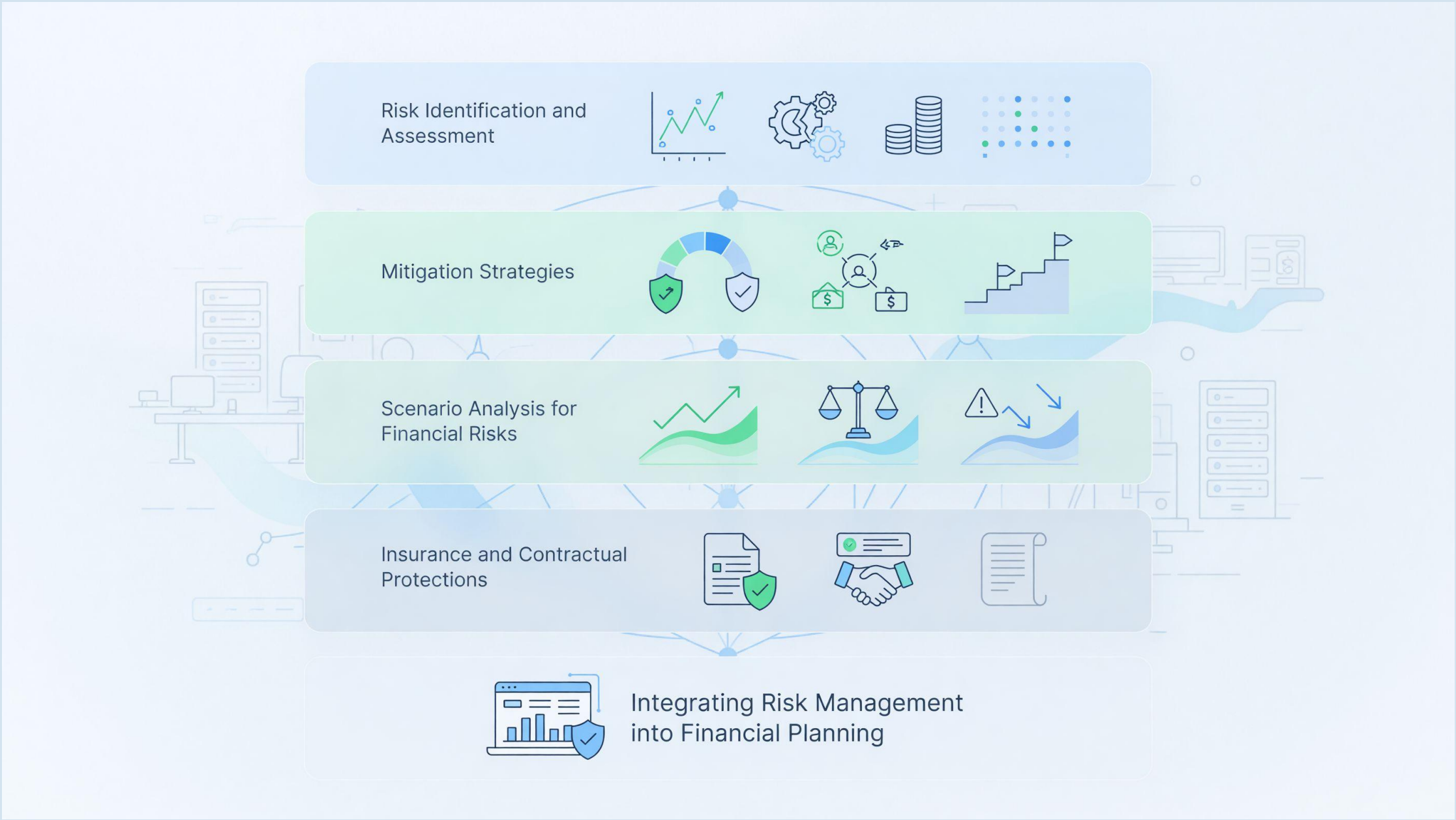
Capital Budgeting and Investment Appraisal



Break-even Analysis Example



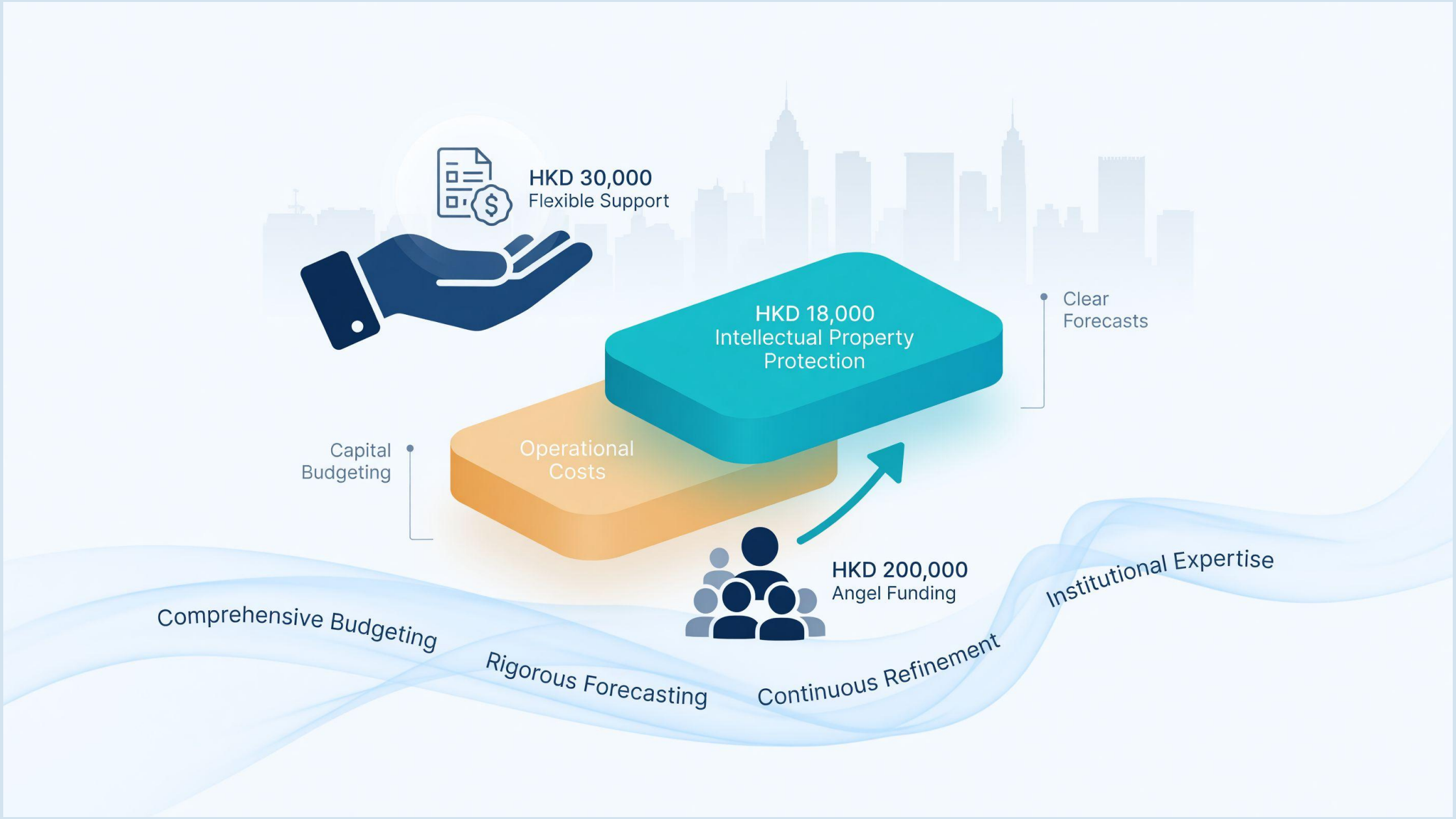
Risk Management in Financial Planning



Dynamic Budget Adjustments



Case Studies with Financial Figures



Startup Financing Plan Example

Robotic Startup Financial Plan

Expense	Setup	Month 01	Month 02	Month 03	Month 04	Month 05	Month 06	Month 07	Month 08	Month 09	Month 10	Month 11	Month 12	Yearly	Total	Percentage
Office rental	40,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	240,000	280,000	8%
Office Setup	200,000													-	200,000	6%
Software	100,000													-	100,000	3%
Operation		20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	20,000	240,000	240,000	7%
Salary (4 headcounts)		100,000	100,000	100,000	100,000	100,000	100,000	100,000	100,000	100,000	100,000	100,000	100,000	1,200,000	1,200,000	34%
Yearly expense		50,000												50,000	50,000	1%
R&D	200,000	50,000	50,000	50,000	50,000	50,000	50,000	250,000	50,000	50,000	150,000	50,000	50,000	900,000	1,100,000	31%
Component cost											5,000	25,000	50,000	80,000	80,000	
Product cost																
Marketing													100,000	100,000	100,000	3%
Buffer budget	60,000												100,000	100,000	160,000	5%
Total Expense	600,000	240,000	190,000	190,000	190,000	190,000	190,000	390,000	190,000	190,000	295,000	215,000	440,000	2,910,000	3,510,000	
Income																
University funding	1,000,000				500,000									500,000	1,500,000	
Government funding											100,000			100,000	100,000	
Service income								50,000	50,000	50,000	50,000	50,000	50,000	300,000	300,000	
Component sales											10,000	50,000	100,000	160,000	160,000	
Product sales																
Total Income	1,000,000	-	-	-	500,000	-	-	50,000	50,000	50,000	160,000	100,000	150,000	1,060,000	2,060,000	
Profit and Loss	400,000	(240,000)	(190,000)	(190,000)	310,000	(190,000)	(190,000)	(340,000)	(140,000)	(140,000)	(135,000)	(115,000)	(290,000)	(1,850,000)		
Investment		1,000,000						1,000,000						2,000,000	2,000,000	SAFE agreement
Cashflow statement																
Cash in bank	400,000	1,160,000	970,000	780,000	1,090,000	900,000	710,000	1,370,000	1,230,000	1,090,000	955,000	840,000	550,000			

TSSSU Income

HKSTP Income

1st $ Point by service model

1st $ Point by component sales

Sales Income

Investment

Budget and Income Milestones Example

Sales

	Robot Sales	1st Order	2nd Order	3rd Order	4th Order			
	Order qty	100	200	500	1,000			
Fixed Cost	Setup cost	Qty	Unit Cost	Total				
	Tooling	1	300,000	300,000				
	Testing jig	10	10,000	100,000				
					400,000			
Unit Cost	Hardware	Qty	Unit Cost	Total	1st Order	2nd Order	3rd Order	4th Order
	Edge computer	1	3,000	3,000	300,000	600,000	1,500,000	3,000,000
	Components	5	100	500	50,000	100,000	250,000	500,000
	PCB	1	50	50	5,000	10,000	25,000	50,000
	SMT Assembly	1	30	30	3,000	6,000	15,000	30,000
	Production	1	200	200	20,000	40,000	100,000	200,000
	Packaging	1	20	20	2,000	4,000	10,000	20,000
	Logistics/shipment				100,000	150,000	300,000	600,000
	Sub-total				480,000	910,000	2,200,000	4,400,000
	Total with 10% Buffer				528,000	1,001,000	2,420,000	4,840,000
	Yearly fee							
Software Cost	Software	Qty	Unit Cost	Total				
	ROS	1	2,000	2,000	2,000	2,000	2,000	2,000
	App	1	5,000	5,000	5,000	5,000	5,000	5,000
Operation Cost	System	Qty	Unit Cost	Total				
	AWS cloud	1	5,000	5,000	5,000	5,000	5,000	5,000
	Total Budget				940,000	1,413,000	2,832,000	5,252,000
Income	Pricing							
	Margin	20		Revenue	4,700,000	7,065,000	14,160,000	26,260,000
	Gross Profit				3,760,000	5,652,000	11,328,000	21,008,000

3-5 Budget and Forecasting Example

Yearly Forecast

	Startup	Year 01	Year 02	Year 03	Year 04	Year 05
Expense	(600,000)	(2,910,000)	(3,492,000)	(4,190,400)	(5,028,480)	(6,034,176)
Sales cost			(940,000)	(1,413,000)	(2,832,000)	(5,252,000)
Income	1,000,000	1,060,000	2,120,000	4,240,000	8,480,000	16,960,000
Sales income			4,700,000	7,065,000	14,160,000	26,260,000
			1st $ Point by product sales model			
P&L	400,000	(1,850,000)	2,388,000	5,701,600	14,779,520	31,933,824
			Breakeven point			
Investment	-	2,000,000	2,000,000			
Dividend				8,000,000	14000000	
				Return on investment point		
Cash in bank	400,000	550,000	4,938,000	2,639,600	3,419,120	35,352,944

Income

Sales

Investment

Dividend

Cashflow

Chapter 4: Managing Cash Flow and Working Capital

Ir Prof Alan Lam, JP



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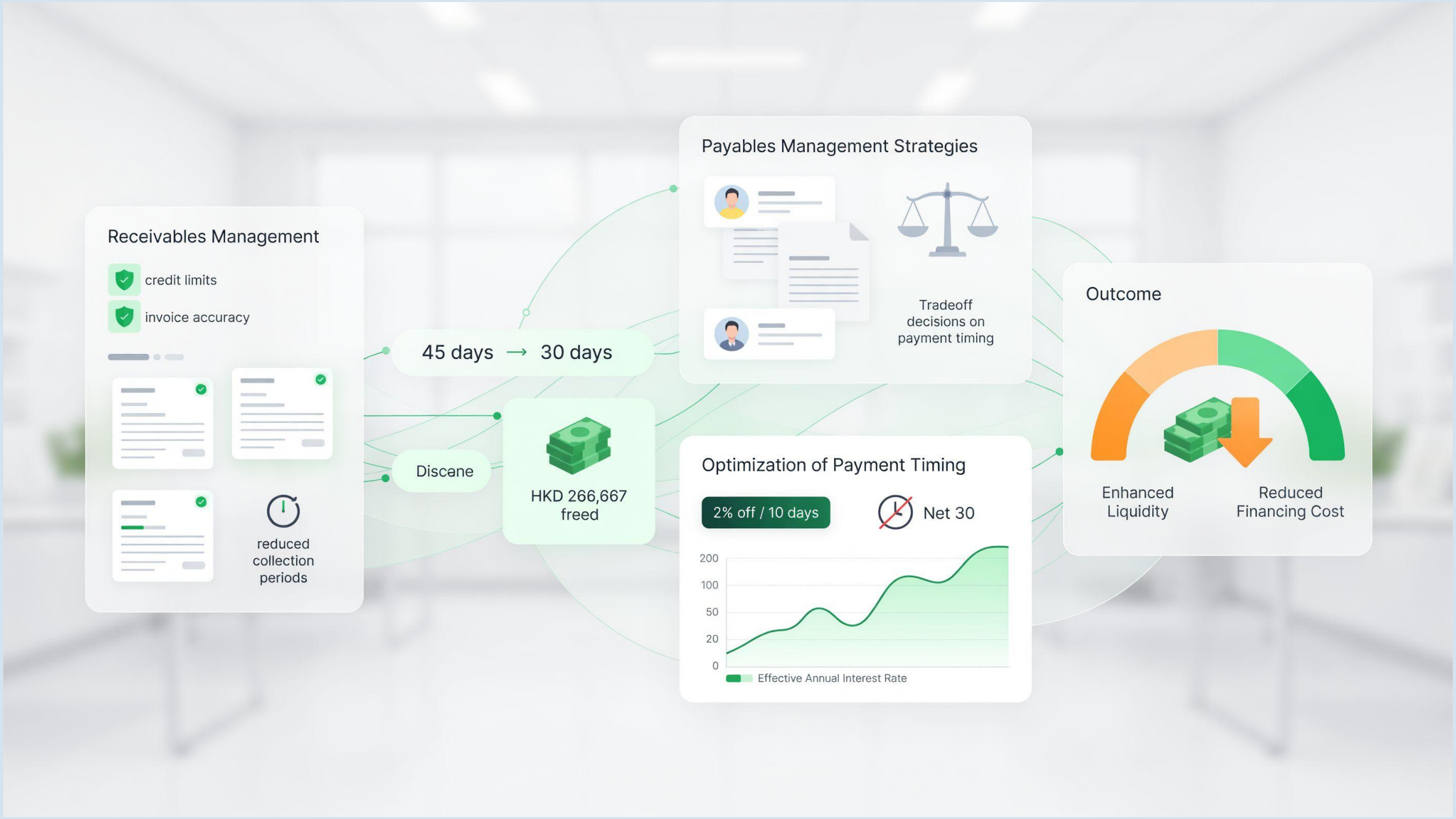
Cash Flow Management Basics



Working Capital Concepts



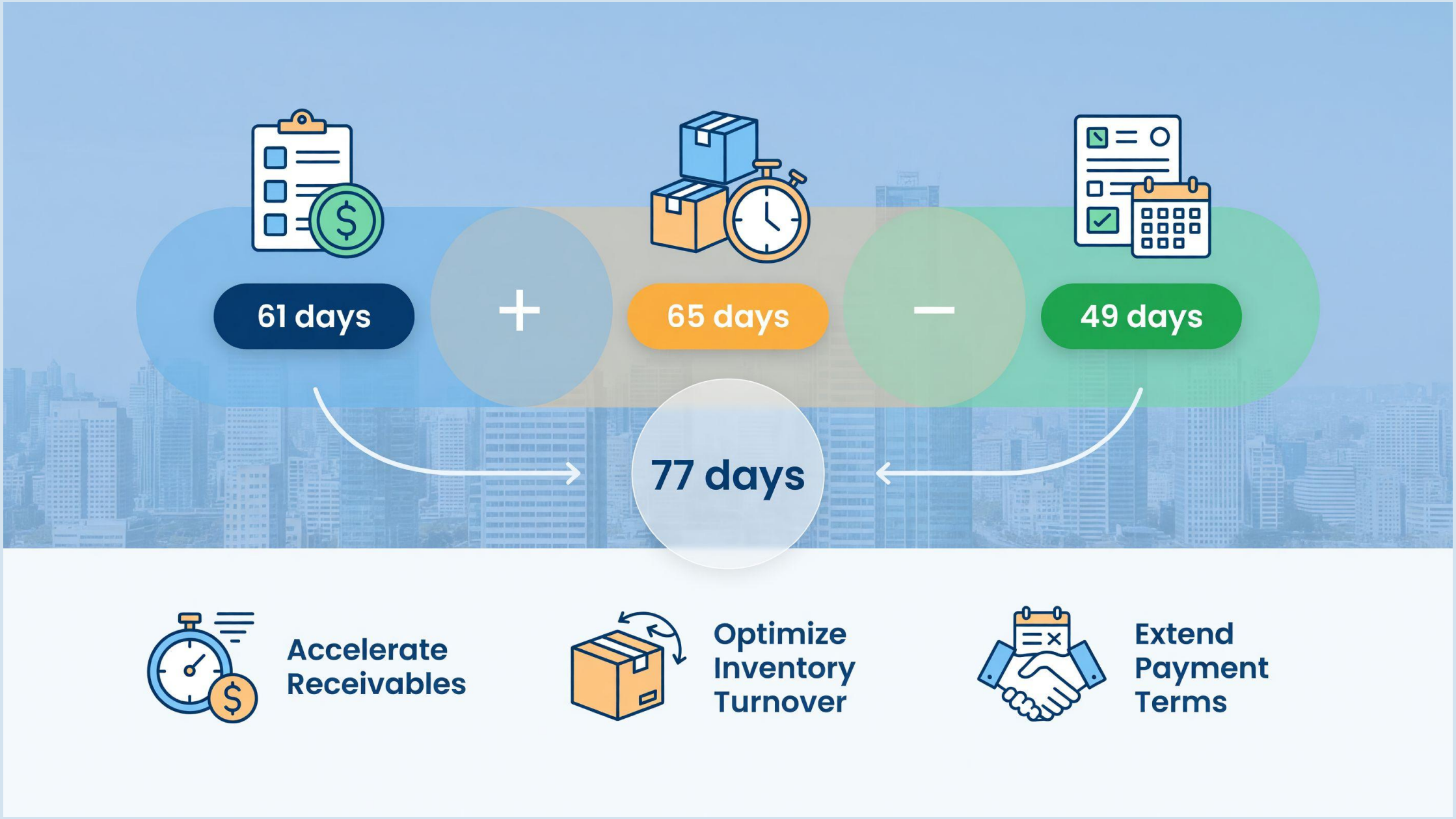
Receivables and Payables Management



Inventory Control Impact



Cash Conversion Cycle Calculation Examples



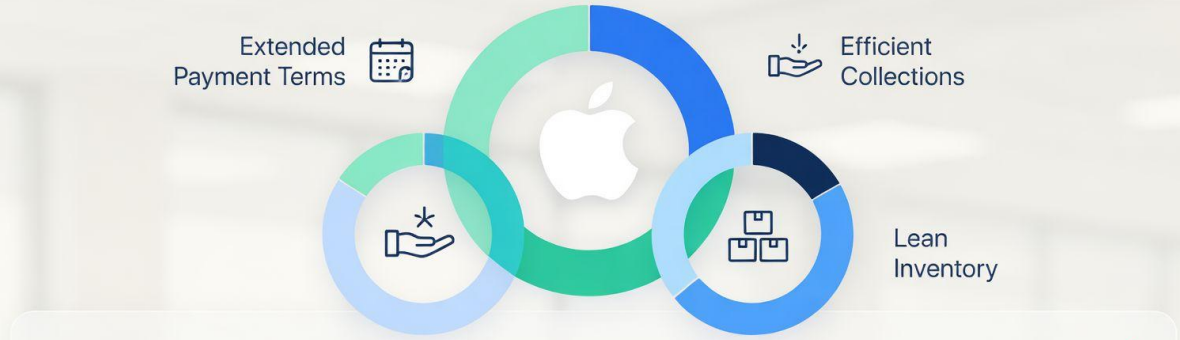
Short-term Financing Options



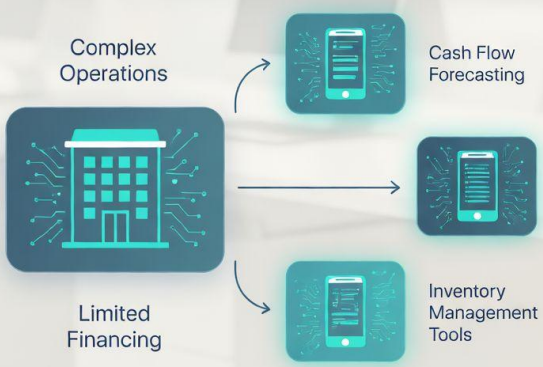
Strategies to Improve Liquidity



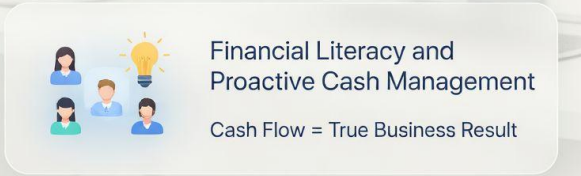
Market Examples











Chapter 5: Management Accounting and Financial Audits

Ir Prof Alan Lam, JP

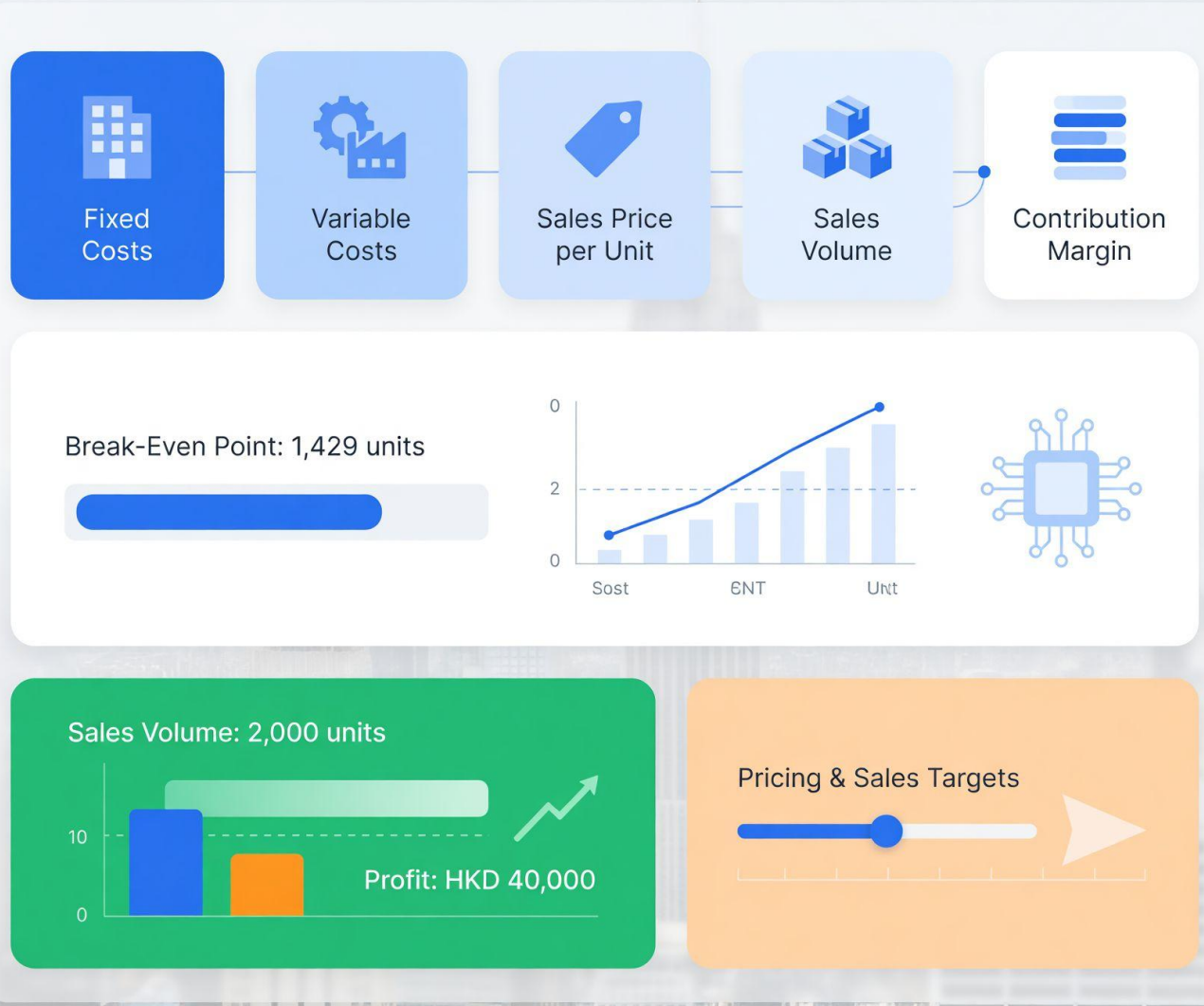


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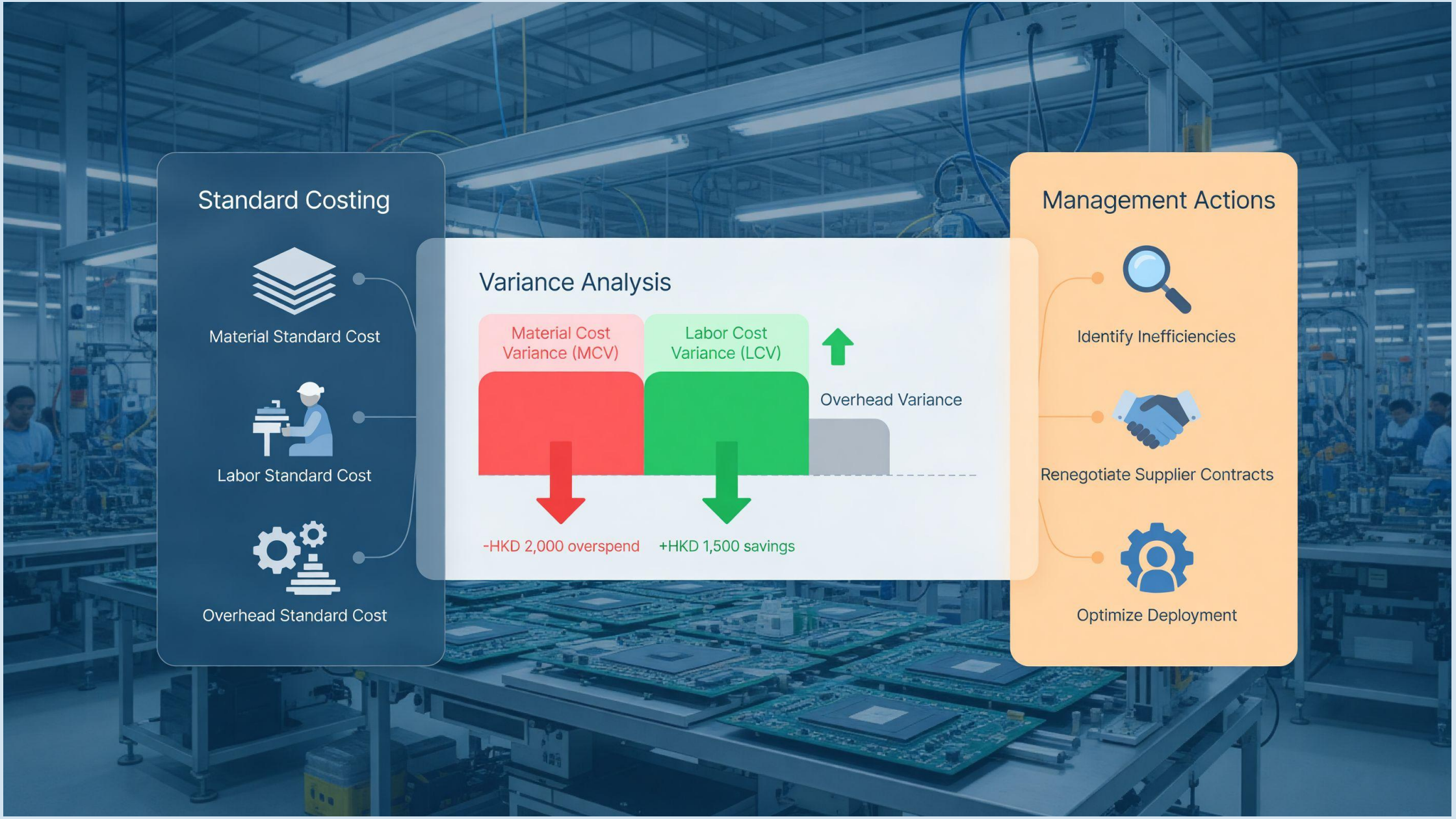
Role of Management Accounting



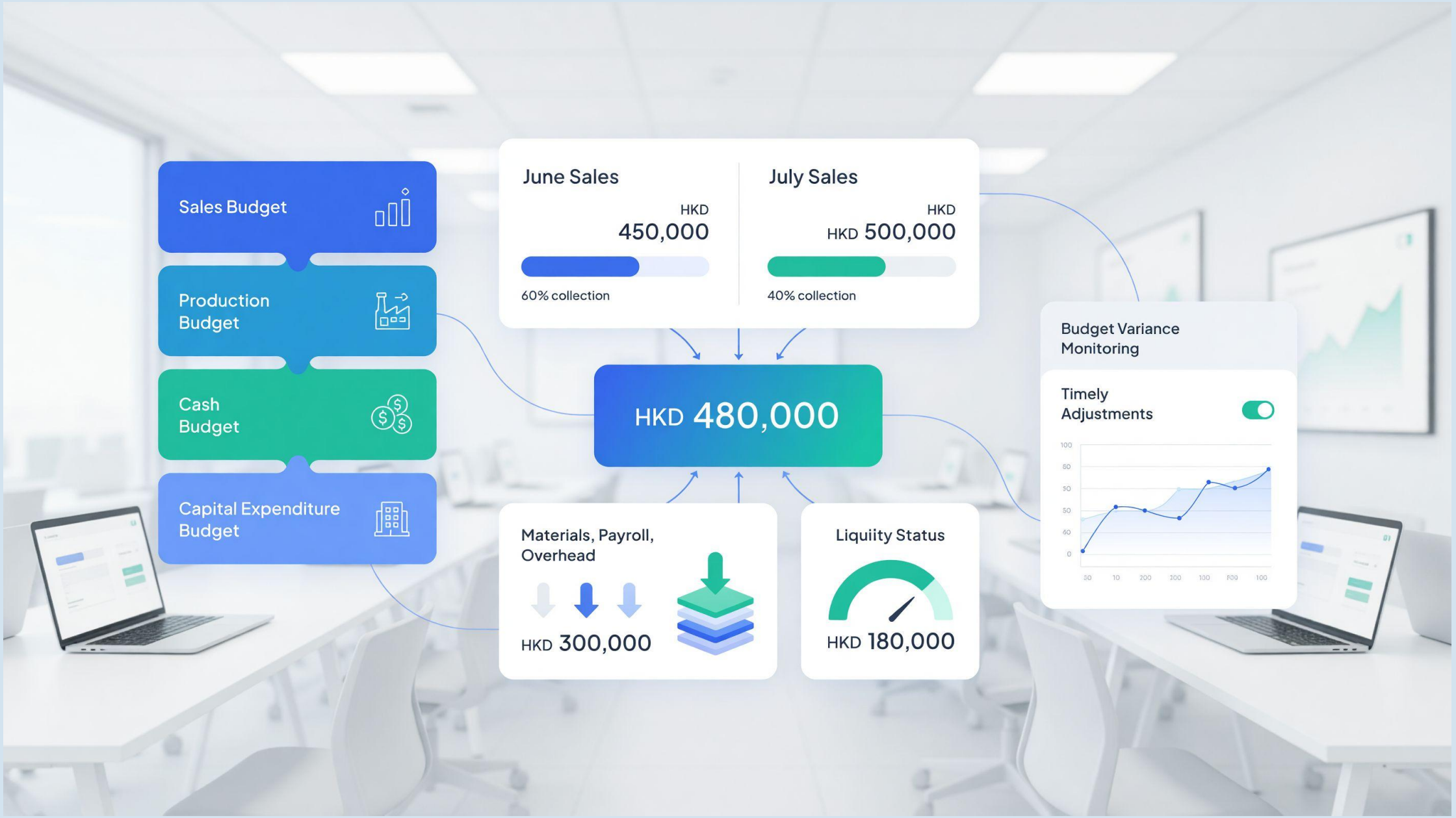
Cost-Volume-Profit Analysis



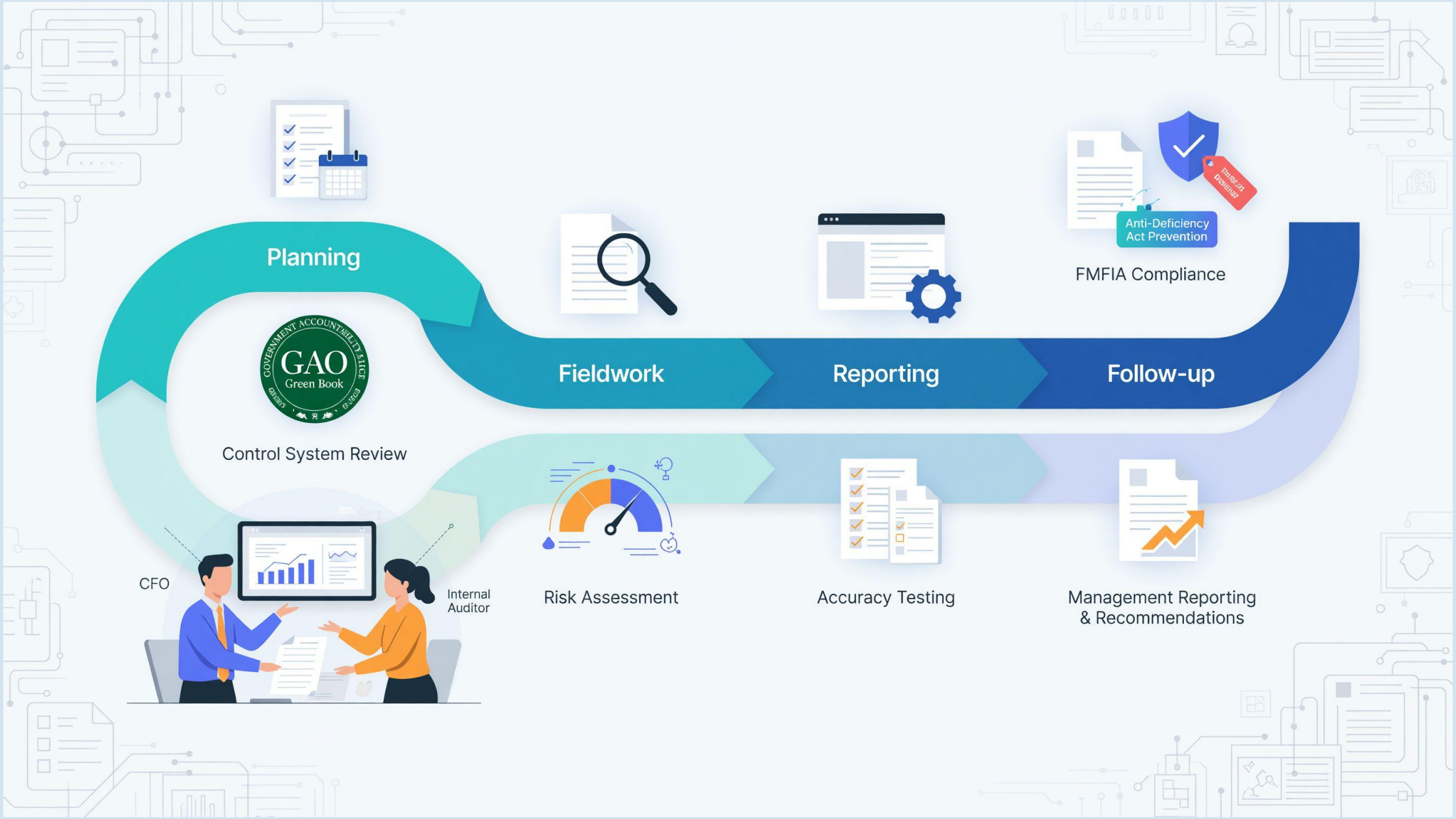
Standard Costing and Variance Analysis



Budgetary Control Methods



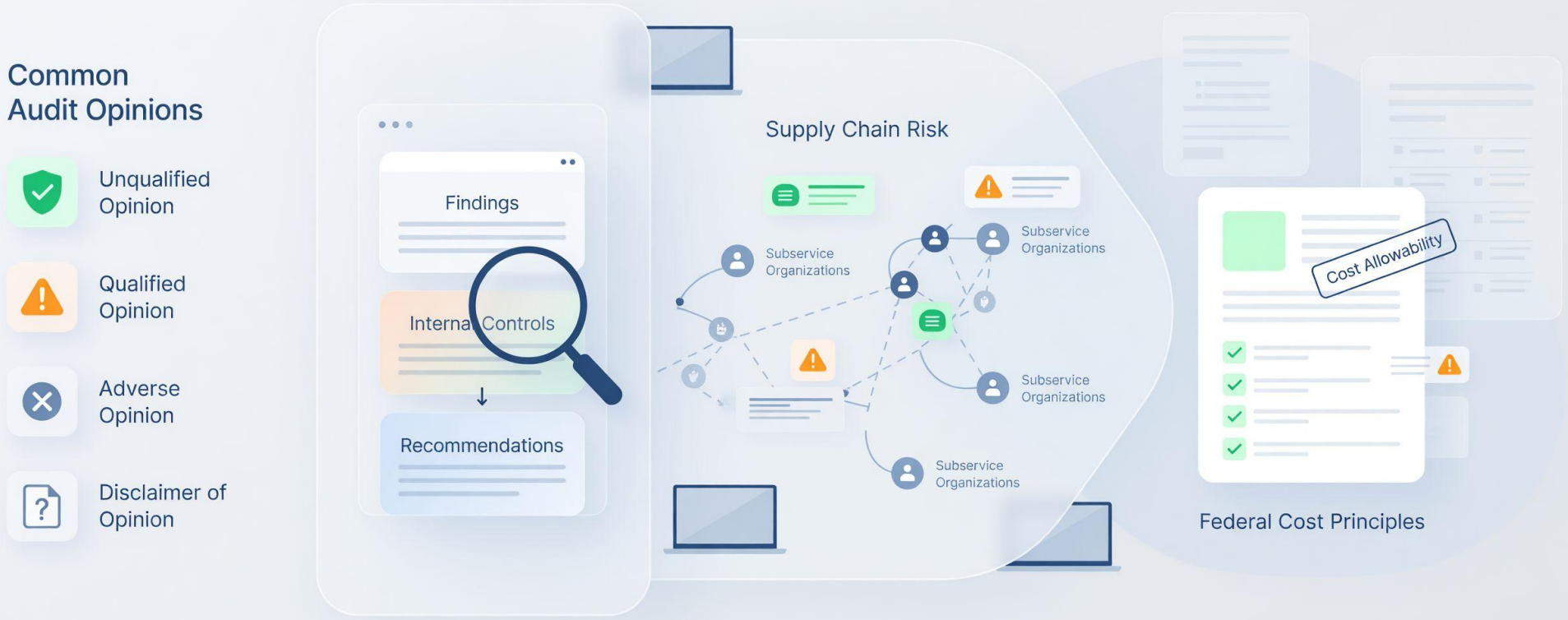
Internal Financial Audits



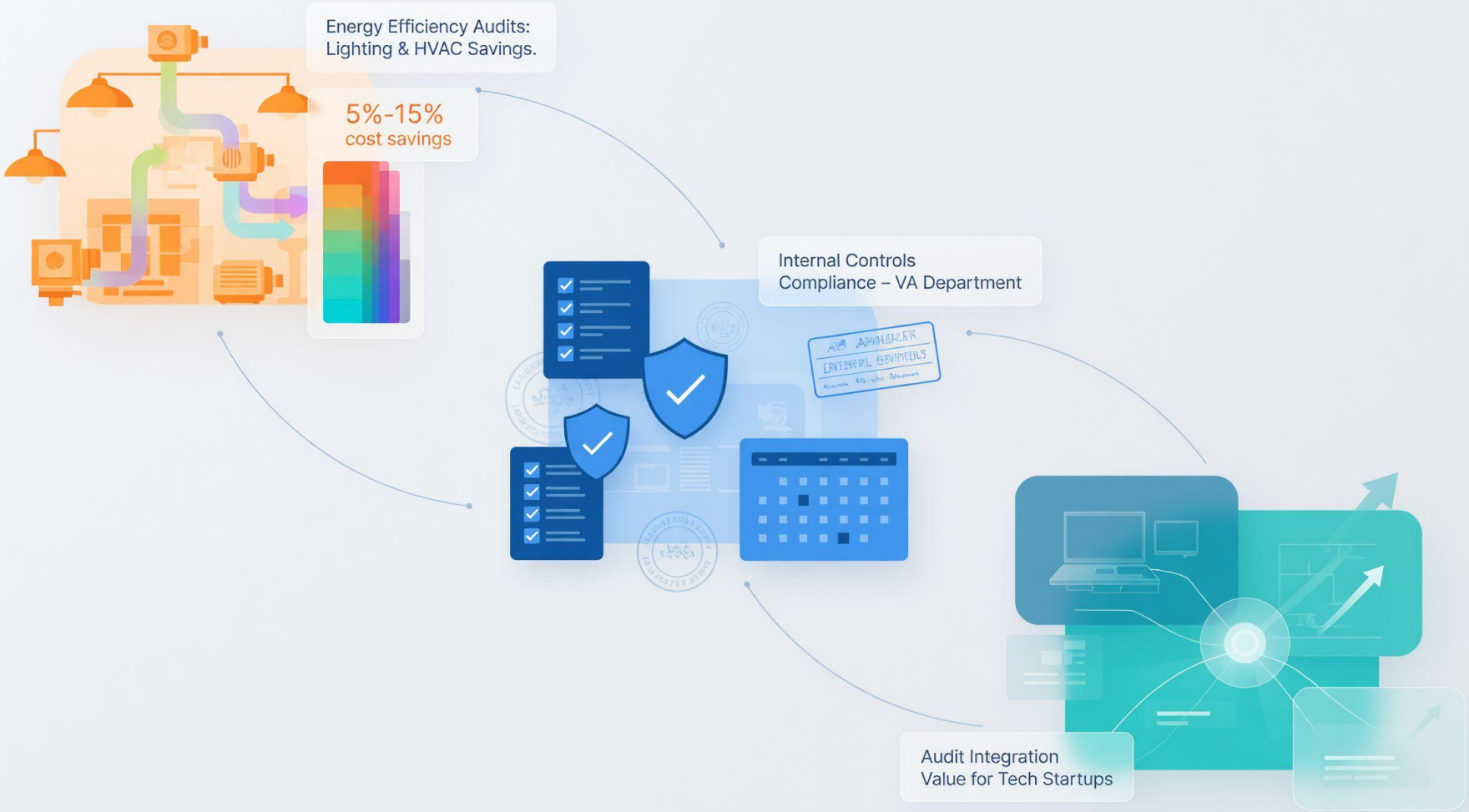
Preparation for External Audit



Audit Reports Interpretation



Practical Audit Case Studies



Chapter 6: Successful Example - Xero as a Leading Accounting Tool

Ir Prof Alan Lam, JP

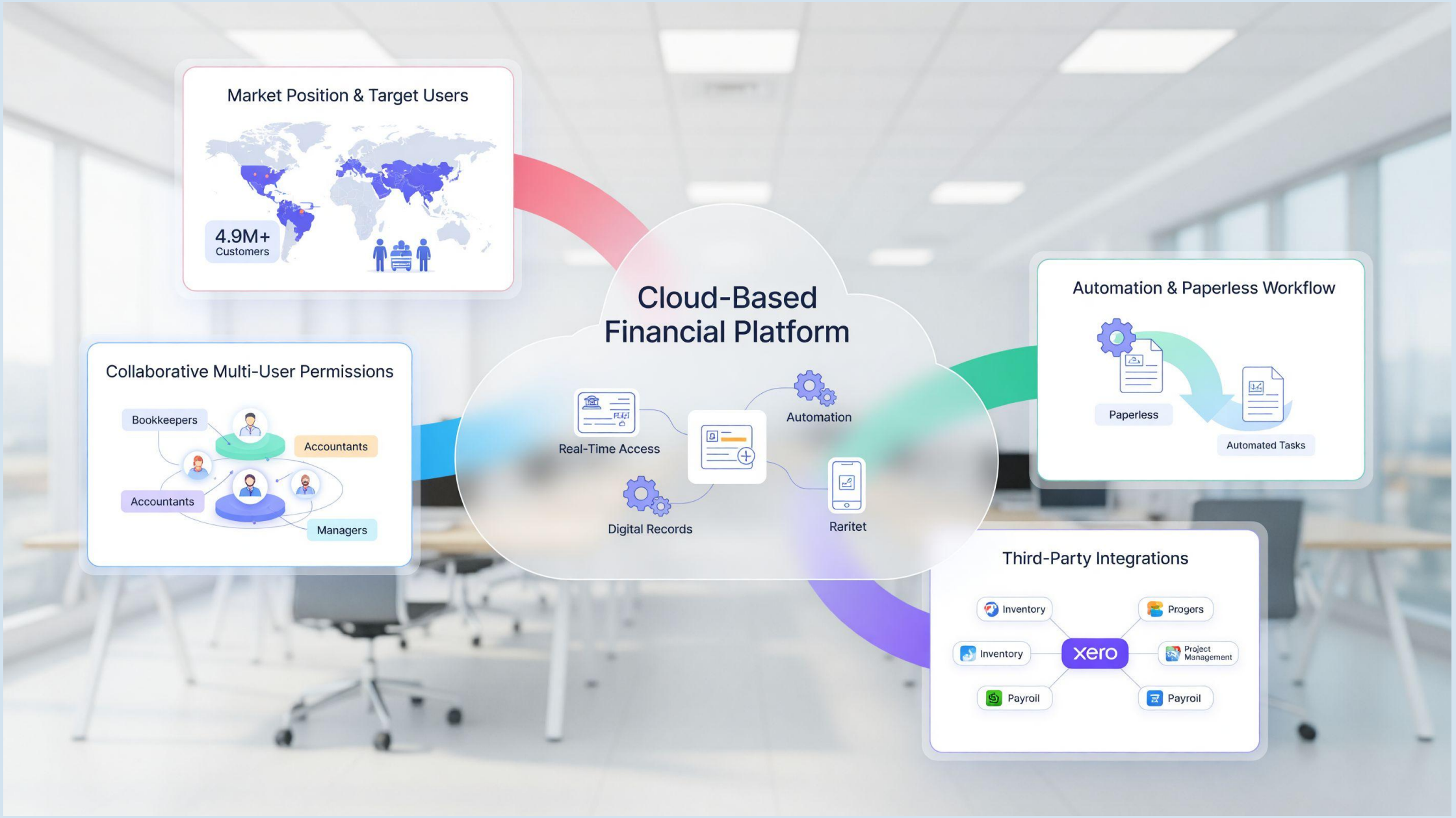


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Introduction to Xero



Overview of Xero Accounting Software



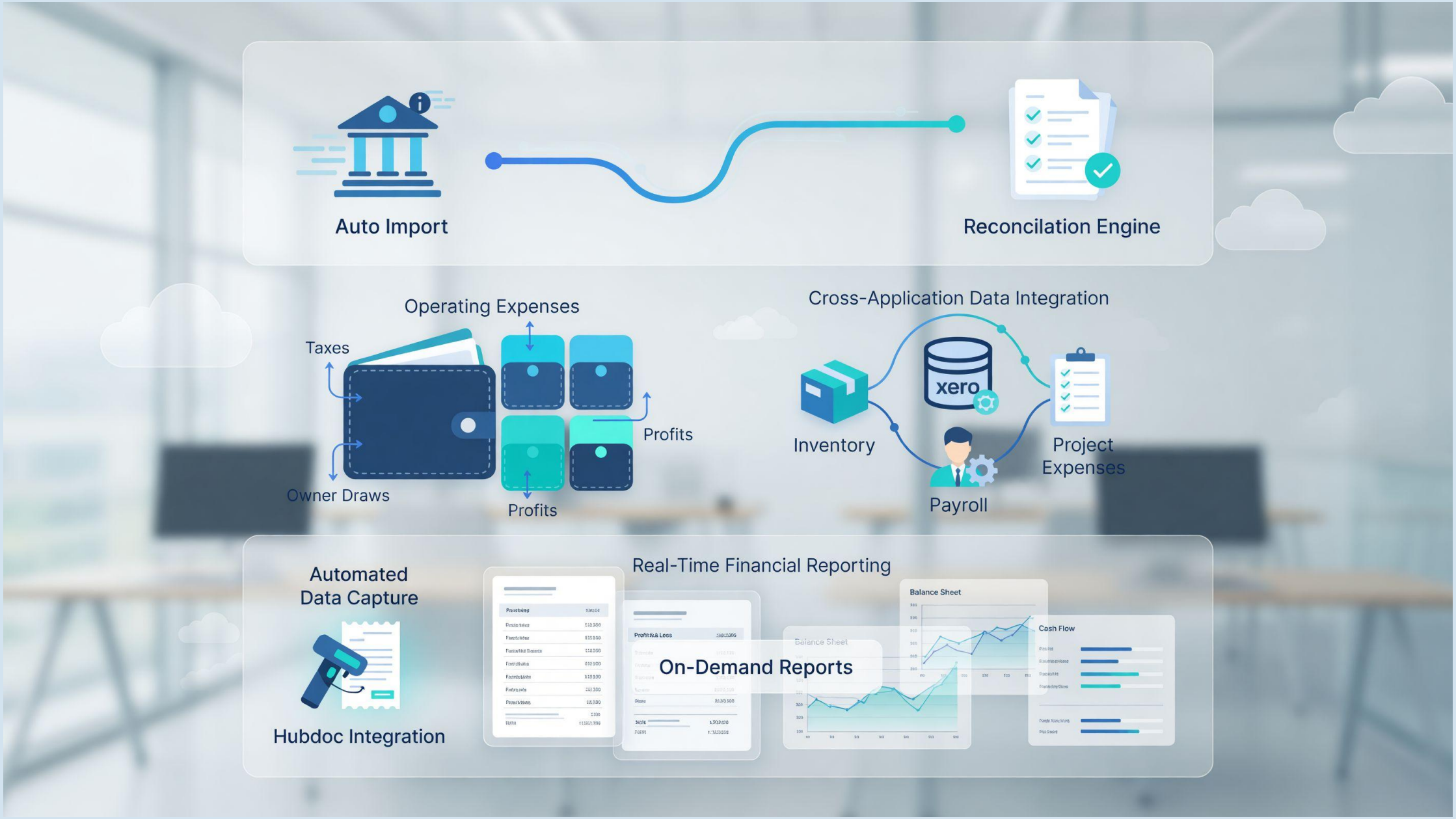
Key Features and Benefits



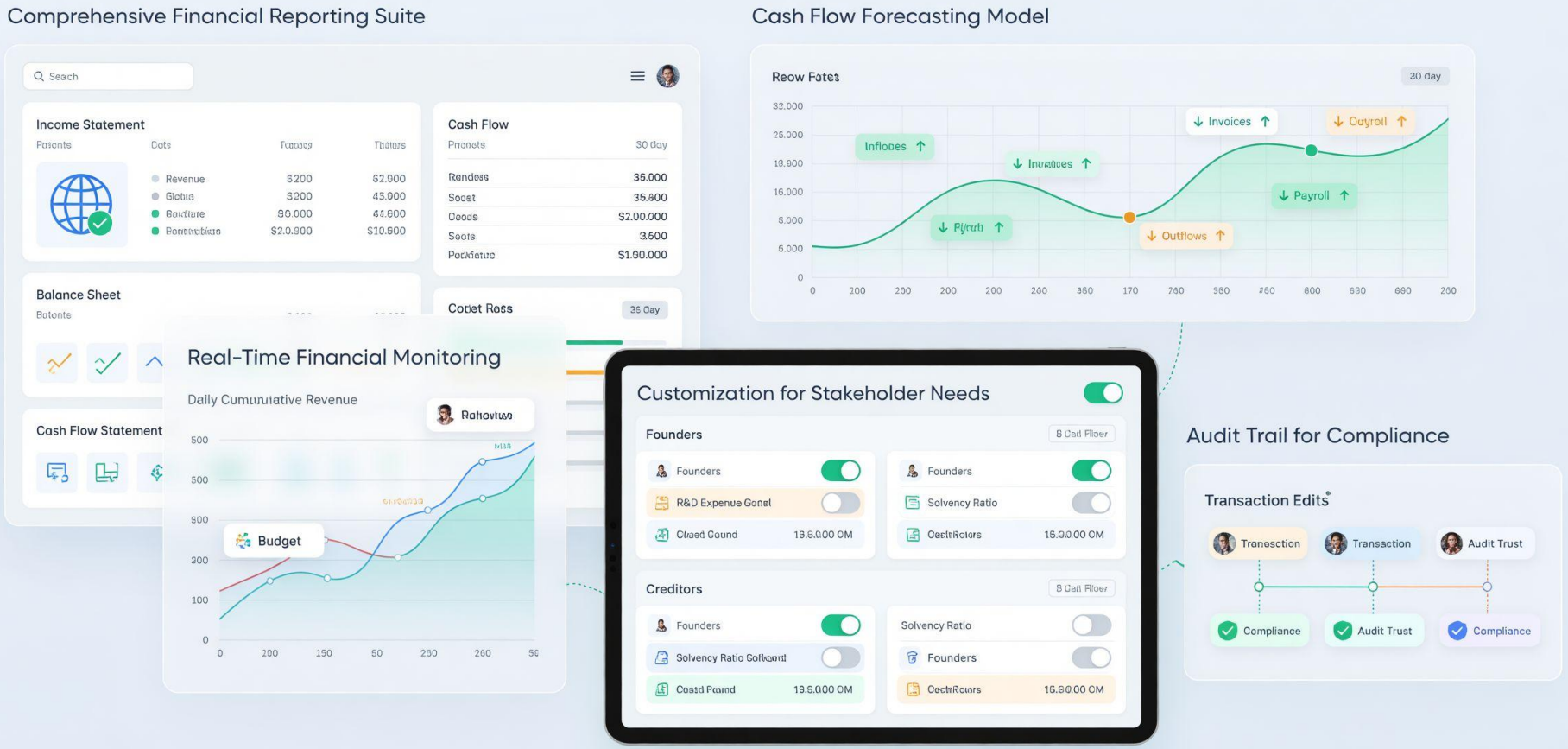
Implementation in Tech Startups



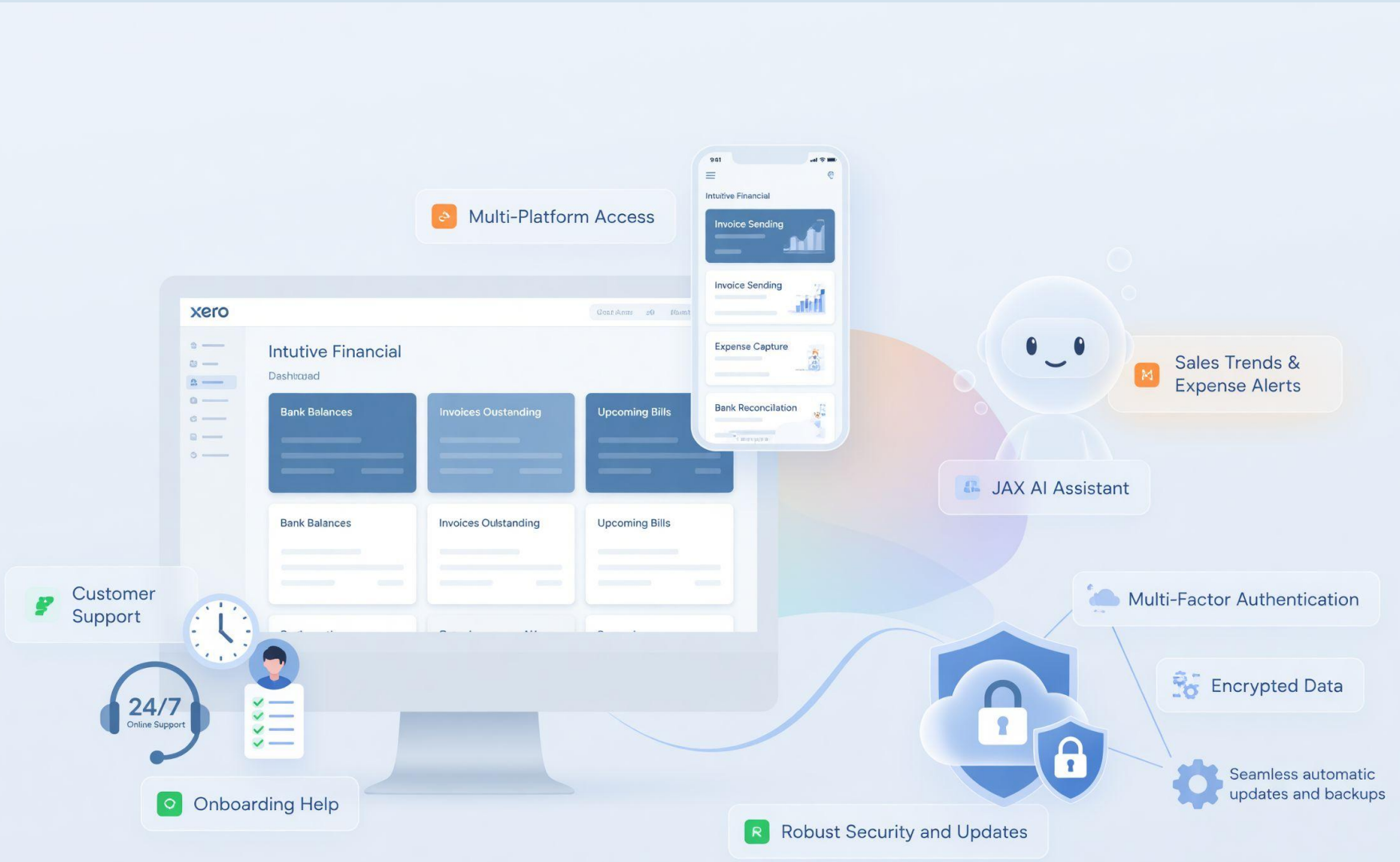
Real Business Data Integration



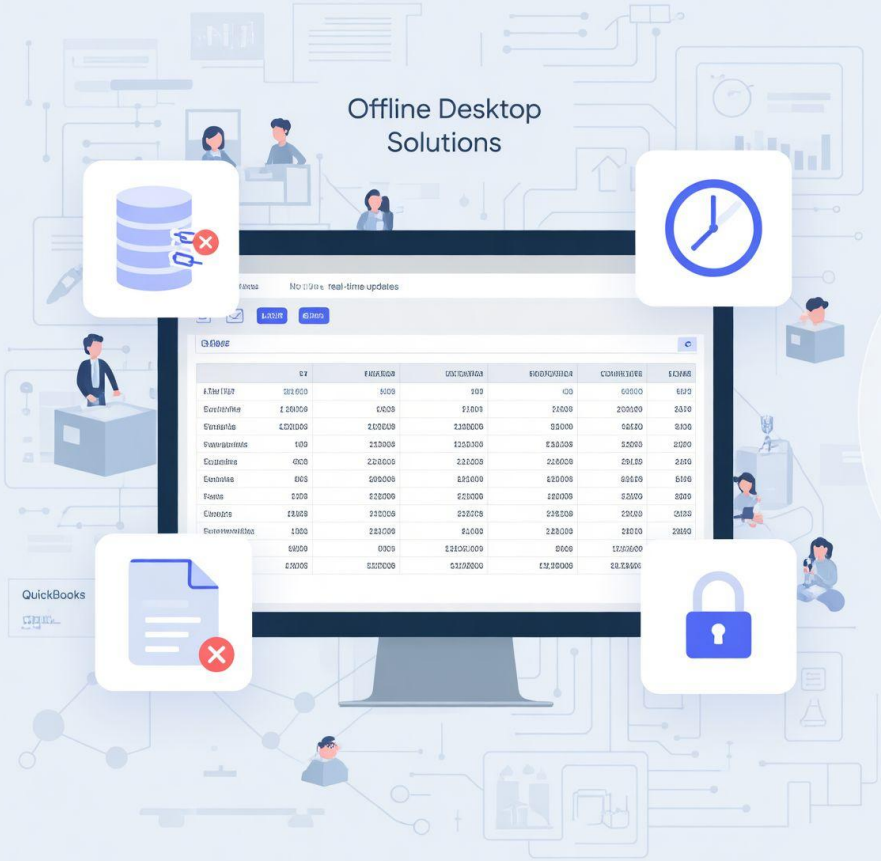
Financial Reporting Using Xero



User Experience and Accessibility

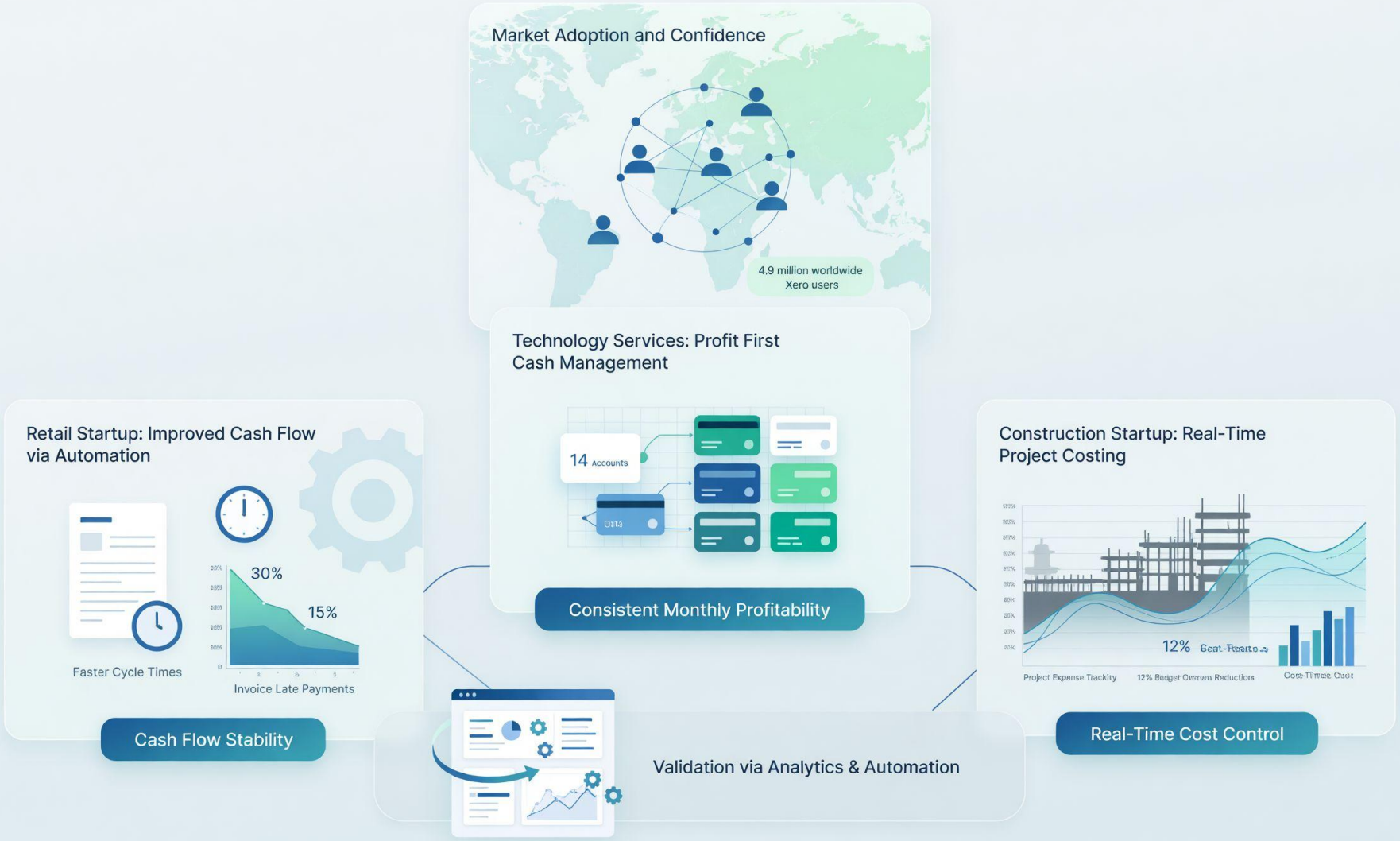


Comparative Analysis with Other Tools





Success Stories



In-Class Discussion:

- Please based on the today's lecture to summarize what did you learn.
- Based on your project to work out Accounting and Financing Plan
- Make one Slide about the Startup Financial Plan.



Accounting and Finance

Reference:

- https://www.investopedia.com/terms/f/financialaccounting.asp
- https://fastercapital.com/content/The-basics-of-accounting-and-finance-for-startups.html
- https://www.zeni.ai/blog/what-is-accounting
- https://marketbusinessnews.com/why-is-accounting-important-for-startups/304386/amp/
- https://synfiny.com/importance-finance-startup/
- https://online.hbs.edu/blog/post/finance-vs-accounting



Ir Prof Alan Lam, JP
Adjunct Professor

End of Presentation
Thank You